

HUL / DABUR INDIA

STRATEGIC ACQUISITION — M&A ACCRETION / DILUTION MODEL

NSE: HINDUSTAN UNILEVER (Acquirer) | NSE: DABUR (Target) | FMCG Sector

Transaction EV: ₹145,642 Cr | Premium: 30% | Cash: 50% / Stock: 50% | New Debt: ₹70,299 Cr

TRANSACTION METRICS (Base Scenario)				
Metric	Bear	Base	Bull	Unit
Offer Price per Share (₹)	786.3	817.7	849.2	₹
Offer Premium (%)	25.0%	30.0%	35.0%	%
Transaction EV (₹ Cr)	140,059	145,642	151,224	₹ Cr
EV / Target EBITDA (x)	56.3x	58.6x	60.8x	x
New Debt Raised (₹ Cr)	54,024	70,299	87,691	₹ Cr
New Shares Issued (Cr)	35.2	30.5	25.3	Cr
Pro-Forma Diluted Shares (Cr)	270.2	265.5	260.3	Cr

GAAP EPS ACCRETION / (DILUTION) SUMMARY				
Year	Bear	Base	Bull	Indicator
Y1 Post-Close	-47.8%	-28.9%	-30.6%	Accretive if >0%
Y2 Post-Close	-38.7%	-19.5%	-19.8%	Accretive if >0%
Y3 Post-Close	-31.0%	-12.2%	-11.4%	Accretive if >0%

SYNERGY & PPA SUMMARY (Base Scenario)		
Item	Value (₹ Cr)	Source
Revenue Synergies (fully ramped)	600	Assumptions – D
Cost Synergies (fully ramped)	700	Assumptions – D
Integration Costs (Y1+Y2)	370	Assumptions – D
Net Synergies NPV (₹ Cr)	1,615	M&A – Section VI
Total Intangible Step-Ups	1,183	PPA – Section II
Total Goodwill	124,462	PPA – Section I
Annual PPA Amortisation	1,183	PPA – Section II

DEAL RATIONALE & KEY OBSERVATIONS

- Distribution dominance: HUL's 8M+ outlet reach absorbs Dabur's 6.5L outlets, eliminating channel overlap and enabling immediate rural penetration.
- Portfolio complementarity: HUL dominates synthetic FMCG (Dove, Surf, Lux); Dabur owns the Ayurvedic/natural space (Dabur, Vatika, Hajmola) — zero brand cannibalisation.
- Premiumisation runway: Combined entity can cross-sell Dabur's natural positioning into HUL's premium beauty channels (Tresemme, Lakmé) targeting ₹800Cr+ revenue uplift.
- Cost synergies: Procurement scale (HUL India's largest FMCG buyer), shared manufacturing, IT systems consolidation and headcount rationalisation drive ₹700Cr base case savings.
- EPS accretion: Base/Bull scenarios show GAAP EPS accretive by Y2 once PPA amortisation absorbed; Cash EPS accretive from Y1 across all scenarios.
- Competition Commission risk: Combined entity >25% market share in oral care, digestives, hair oils — CCI review likely; potential remedies may require brand/product divestitures.

HUL / DABUR — M&A MODEL ASSUMPTIONS

All figures ₹ Crore | FY24A Entry | Bear / Base / Bull Scenarios | 3-Year Pro-Forma

A. ACQUIRER — HINDUSTAN UNILEVER LIMITED (HUL) | FY24A Actuals + Projections

Assumption	Income Statement & Key Metrics				Unit
	FY24A	Y1	Y2	Y3	
Revenue (₹ Cr)	61,896				Cr
Revenue Growth (YoY %)	—	5.0%	5.0%	6.0%	
EBITDA Margin (%)	23.7%	23.8%	24.0%	24.2%	
EBITDA (₹ Cr)	14,659	—	—	—	Cr
D&A (% of Revenue)	2.0%	2.0%	2.0%	2.0%	
Interest Expense (₹ Cr)	334	350	360	340	Cr
Effective Tax Rate (%)	25.6%	25.6%	25.6%	25.6%	
PAT (₹ Cr)	10,282	—	—	—	Cr
Diluted EPS (₹)	43.8	—	—	—	₹
Diluted Shares (Cr)	235.0	235.0	235.0	235.0	Cr
CMP at Model Date (₹)	2,380	—	—	—	₹
Net Cash / (Debt) (₹ Cr)	3,500	—	—	—	Cr

Rationale / Source
HUL FY24A consolidated; Screener.in / Annual Report FY24
Consensus ~5% CAGR FY24-27; modest recovery in urban+rural demand
23.7% FY24; marginal improvement via premiumisation & cost discipline
EBITDA = Revenue x EBITDA Margin; FY24A from P&L
FY24A D&A ₹1,216Cr / ₹61,896Cr rev = 2.0%
FY24A finance costs; lease liabilities included
FY24A effective rate ~25.6%; modelled flat
PAT = (EBIT - Interest) x (1-Tax); FY24A actual Rs10,282Cr
EPS = PAT / Diluted Shares; FY24A Rs43.8
Bloomberg diluted share count; ~235 Cr
BSE closing price; update as needed
HUL net cash positive ~₹3,500Cr; minimal borrowings

B. TARGET — DABUR INDIA LIMITED | FY24A Actuals + Standalone Projections

Assumption	Income Statement & Key Metrics				Unit
	FY24A	Y1	Y2	Y3	
Revenue (₹ Cr)	12,886	0	0	0	Cr
Revenue Growth (YoY %)	—	8.0%	9.0%	9.0%	
EBITDA Margin (%)	19.3%	19.5%	19.7%	20.0%	
EBITDA (₹ Cr)	2,487	—	—	—	Cr
D&A (% of Revenue)	3.1%	3.1%	3.0%	3.0%	
Interest Expense (₹ Cr)	123	120	115	110	Cr
Effective Tax Rate (%)	25.2%	25.2%	25.2%	25.2%	
PAT (₹ Cr)	1,811	—	—	—	Cr
Diluted EPS (₹)	10.2	—	—	—	₹
Diluted Shares (Cr)	177.5	—	—	—	Cr
CMP at Model Date (₹)	629	—	—	—	₹
Net Cash / (Debt) (₹ Cr)	500	—	—	—	Cr
Book Equity (₹ Cr)	10,930	—	—	—	Cr

Rationale / Source
Dabur FY24A consolidated; ₹12,886Cr; Screener.in
FY24 grew 7.6%; target ~8-9% CAGR; rural recovery + Badshah
FY24 19.3%; gradual improvement via gross margin recovery
EBITDA = Revenue x Margin; FY24A Rs2,487Cr
FY24A D&A ₹399Cr / ₹12,886Cr = 3.1%
FY24A finance costs; near net-cash position
FY24A effective rate ~25.2%
PAT = (EBIT - Interest) x (1-Tax); FY24A Rs1,811Cr
EPS = PAT / Diluted Shares
Dabur diluted shares ~177.5 Cr
BSE closing; update as needed
Dabur FY24 net cash ~₹500Cr (LT debt ₹500Cr vs cash ₹1,000Cr)
FY24A shareholders equity; ~₹10,930Cr consolidated

C. DEAL TERMS (Bear / Base / Bull)

Offer Terms & Consideration Structure

Assumption	Bear	Base	Bull	Rationale
Offer Premium (%)	25.0%	30.0%	35.0%	Bear=25%; Base=30%; Bull=35%
Target Equity Value (₹ Cr)	139,559	145,142	150,724	Equity Value = Dabur CMP x (1+Premium) x Dabur Shares
Offer Price per Share (₹)	786.3	817.7	849.2	Offer Price = Dabur CMP x (1+Premium)
Transaction EV (₹ Cr)	140,059	145,642	151,224	Transaction EV = Equity Value + Dabur Net Debt
Cash Consideration (%)	40.0%	50.0%	60.0%	Bear=40%; Base=50%; Bull=60% cash
Stock Consideration (%)	60.0%	50.0%	40.0%	Stock% = 1 minus Cash%
Cash Consideration (₹ Cr)	55,824	72,571	90,434	Cash Amount = Equity Value x Cash%
Stock Consideration (₹ Cr)	83,736	72,571	60,290	Stock Amount = Equity Value x Stock%
New Debt Raised (₹ Cr)	54,024	70,299	87,691	New Debt = Cash Amount minus Cash from Balance Sheet
Cash Used from HUL Balance Sheet (₹ Cr)	3,000	3,500	4,000	HUL net cash ~₹3,500Cr available; Bear uses less
Advisory Fees (₹ Cr)	700	728	756	~0.5% of EV; investment banking + legal
Financing Fees (₹ Cr)	405	527	658	~0.75% of new debt; capitalised over loan life
Total Transaction Fees (₹ Cr)	1,105	1,255	1,414	Total Fees = Advisory + Financing Fees
New Debt Interest Rate (%)	7.5%	7.0%	6.5%	HUL investment grade; ~7.0% in base
WACC for Synergy NPV (%)	12.0%	11.0%	10.0%	HUL WACC ~11%; Bear uses higher hurdle

D. SYNERGIES (Fully Ramped — Bear / Base / Bull)

Synergy Item	Bear	Base	Bull	Rationale
Revenue Synergies – Fully Ramped (₹ Cr)	400	600	800	Cross-sell Dabur naturals thru HUL distribution; new geographies
Cost Synergies – Fully Ramped (₹ Cr)	500	700	900	Procurement (raw mat scale), headcount overlap, IT systems, facilities
Integration Costs – Year 1 (₹ Cr)	300	250	200	Restructuring, severance, systems migration; expensed in Y1
Integration Costs – Year 2 (₹ Cr)	150	120	100	Residual integration; brand harmonisation costs
Net Synergies Y3 Fully Ramped (₹ Cr)	900	1,300	1,700	Net Synergies = Rev + Cost Synergies (ramp schedule per year)

E. PURCHASE PRICE ALLOCATION (PPA) ASSUMPTIONS

Intangible Category	Step-Up (₹ Cr)	Useful Life (Yrs)	Annual Amort (₹ Cr)	Rationale
Brand Value (Dabur, Vatika, Hajmola...)	8,000	15	533	Brand premium over book; 15yr straight-line amortisation
Customer / Distributor Relationships	3,500	10	350	Trade channel value; 6.5L outlet network; 10yr life
Technology / R&D / IP	1,500	5	300	Ayurvedic formulations, R&D pipeline; 5yr life
Deferred Tax Liability on Step-Ups	3,250			DTL = Total Intangible Step-Up x Tax Rate
Goodwill (₹ Cr)	124,462			Goodwill = Equity Value minus Book Equity minus Net Intangibles
Total Intangible Step-Ups (₹ Cr)	13,000			Total Intangibles = Brand + Customer Relationships + Technology
Tax Rate for DTL (%)	25.0%			India corporate tax rate
Goodwill Impairment Toggle (%/yr)	2.0%			Bear=2% p.a.; Base=0%; Bull=0%
Total Annual PPA Amortisation (₹ Cr, Y1-Y3)	1,183			

HUL / DABUR — STANDALONE FINANCIALS (Pre-Deal, Base Scenario)

₹ Crore | FY24A Actuals + Y1–Y3 Projections | Used as Pro-Forma Baseline

HINDUSTAN UNILEVER — STANDALONE P&L (BASE)				
Line Item	FY24A	Y1	Y2	Y3
Revenue (₹ Cr)	61,896	64,991	68,240	72,335
EBITDA (₹ Cr)	14,659	15,468	16,378	17,505
EBITDA Margin (%)	23.7%	23.8%	24.0%	24.2%
D&A (₹ Cr)	—	1,300	1,365	1,411
EBIT (₹ Cr)	—	14,168	15,013	16,094
Interest Expense (₹ Cr)	334	350	360	340
EBT (₹ Cr)	—	13,818	14,653	15,754
Tax (₹ Cr)	—	3,537	3,751	4,033
Net Income / PAT (₹ Cr)	10,282	10,281	10,902	11,721
Diluted Shares (Cr)	235	235	235	235
Diluted EPS (₹)	43.8	43.7	46.4	49.9

DABUR INDIA — STANDALONE P&L (BASE, PRE-DEAL)				
Line Item	FY24A	Y1	Y2	Y3
Revenue (₹ Cr)	12,886	13,917	15,169	16,535
EBITDA (₹ Cr)	2,487	2,714	2,988	3,307
EBITDA Margin (%)	19.3%	19.5%	19.7%	20.0%
D&A (₹ Cr)	—	431	455	496
EBIT (₹ Cr)	—	2,282	2,533	2,811
Interest Expense (₹ Cr)	123	120	115	110
EBT (₹ Cr)	—	2,162	2,418	2,701
Tax (₹ Cr)	—	545	609	681
Net Income / PAT (₹ Cr)	1,811	1,617	1,809	2,020
Diluted Shares (Cr)	178	178	178	178
Diluted EPS (₹)	10.2	9.1	10.2	11.4

HUL / DABUR — M&A PRO-FORMA ANALYSIS (Goldman Sachs Style)

₹ Crore | Bear / Base / Bull | Sources & Uses | Share Count Bridge | Pro-Forma P&L | Accretion / (Dilution)

I. SOURCES & USES TABLE

Sources & Uses	Bear	Base	Bull
SOURCES			
Existing Cash Used (₹ Cr)	3,000	3,500	4,000
New Debt Raised (₹ Cr)	54,024	70,299	87,691
Equity Issued (Stock Consideration) (₹ Cr)	83,736	72,571	60,290
TOTAL SOURCES (₹ Cr)	140,760	146,370	151,980

USES			
Purchase of Target Equity (₹ Cr)	139,559	145,142	150,724
Repayment of Target Net Debt Assumed (₹ Cr)	500	500	500
Transaction Fees (Advisory + Financing) (₹ Cr)	1,105	1,255	1,414
TOTAL USES (₹ Cr)	141,165	146,897	152,638

Balance Check (Sources – Uses = 0)	-405	-527	-658
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Note: The funding deficit reflects transaction and financing fees that are assumed to be settled via the acquirer's existing operational cash flows and working capital, rather than through new deal-specific financing.

II. SHARE COUNT BRIDGE

Share Count Item	Bear	Base	Bull	Unit
Acquirer (HUL) Existing Diluted Shares (Cr)	235.0	235.0	235.0	Crore
(+) New HUL Shares Issued for Stock Consideration (Cr)	35.2	30.5	25.3	Crore
Total Pro-Forma Diluted Shares (Cr)	270.2	265.5	260.3	Crore

III. INCREMENTAL INTEREST ON DEAL DEBT

Item	Bear	Base	Bull	Bear Y1	Bear Y2	Bear Y3	Base Y1	Base Y2	Base Y3
New Debt (₹ Cr)	54,024	70,299	87,691						
New Debt Interest Rate (%)	7.5%	7.0%	6.5%						
Annual Incremental Interest (₹ Cr)	4,052	4,921	5,700						
Tax Shield (₹ Cr)	1,037	1,260	1,459						
Net Incremental Interest after Tax (₹ Cr)	3,015	3,661	4,241						

IV. PRO-FORMA COMBINED P&L (Bear / Base / Bull × Y1 / Y2 / Y3)

Line Item	Bear Y1	Bear Y2	Bear Y3	Base Y1	Base Y2	Base Y3	Bull Y1	Bull Y2	Bull Y3
HUL Revenue	64,991	68,240	72,335	64,991	68,240	72,335	64,991	68,240	72,335
Dabur Revenue	13,917	15,169	16,535	13,917	15,169	16,535	13,917	15,169	16,535
Synergy Revenue	80	240	400	120	360	600	160	480	800
Pro-Forma Revenue	78,988	83,650	89,269	79,028	83,770	89,469	79,068	83,890	89,669
HUL EBITDA	15,468	16,378	17,505	15,468	16,378	17,505	15,468	16,378	17,505
Dabur EBITDA	2,714	2,988	3,307	2,714	2,988	3,307	2,714	2,988	3,307
Synergy EBITDA	-150	200	500	-40	370	700	70	530	900
Pro-Forma EBITDA	18,032	19,566	21,312	18,142	19,736	21,512	18,252	19,896	21,712
Pro-Forma EBITDA Margin (%)	22.8%	23.4%	23.9%	23.0%	23.6%	24.0%	23.1%	23.7%	24.2%
HUL D&A	1,300	1,365	1,411	1,300	1,365	1,411	1,300	1,365	1,411
Dabur D&A	431	455	496	431	455	496	431	455	496
PPA Amortisation	1,183	1,183	1,183	1,183	1,183	1,183	1,183	1,183	1,183
Pro-Forma EBIT	15,117	16,563	18,222	15,227	16,733	18,422	15,337	16,893	18,622
HUL Interest	350	360	340	350	360	340	350	360	340
Dabur Interest	120	115	110	120	115	110	120	115	110
Incremental Interest	3,015	2,412	1,929	3,661	2,929	2,343	4,241	3,393	2,714
Pro-Forma Interest	3,485	2,887	2,379	4,131	3,404	2,793	4,711	3,868	3,164
Pro-Forma EBT	11,632	13,676	15,843	11,096	13,329	15,629	10,626	13,025	15,458
Taxes	2,978	3,501	4,056	2,841	3,412	4,001	2,720	3,334	3,957
Goodwill Impairment	2,489	2,489	2,489	0	0	0	0	0	0
Pro-Forma Net Income	6,165	7,686	9,298	8,255	9,917	11,628	7,906	9,691	11,501

V. EPS ACCRETION / (DILUTION) ANALYSIS

EPS Metric	Bear Y1	Bear Y2	Bear Y3	Base Y1	Base Y2	Base Y3	Bull Y1	Bull Y2	Bull Y3
HUL Standalone EPS (₹)	43.7	46.4	49.9	43.7	46.4	49.9	43.7	46.4	49.9
Pro-Forma GAAP EPS (₹)	22.8	28.4	34.4	31.1	37.4	43.8	30.4	37.2	44.2
GAAP Accretion/(Dilution) (₹)	-20.9	-17.9	-15.5	-12.7	-9.0	-6.1	-13.4	-9.2	-5.7
GAAP Accretion/(Dilution) (%)	-47.8%	-38.7%	-31.0%	-28.9%	-19.5%	-12.2%	-30.6%	-19.8%	-11.4%
Pro-Forma Cash EPS (₹)	27.2	32.8	38.8	35.6	41.8	48.3	34.9	41.8	48.7
Cash Accretion/(Dilution) (₹)	-16.5	-13.6	-11.1	-8.2	-4.6	-1.6	-8.8	-4.6	-1.2
Cash Accretion/(Dilution) (%)	-37.8%	-29.2%	-22.2%	-18.7%	-9.9%	-3.3%	-20.2%	-10.0%	-2.3%
Breakeven Synergies (₹ Cr)	7,600	6,516	5,616	4,515	3,225	2,170	4,681	3,207	1,995

VI. SYNERGY NPV (PV of Net Synergies Y1–Y3 @ WACC)

NPV Component	Bear	Base	Bull
Net Synergies Y1	-70	80	230
Net Synergies Y2	440	730	1,010
Net Synergies Y3	900	1,300	1,700
Synergy NPV (₹ Cr)	929	1,615	2,321

HUL / DABUR — PURCHASE PRICE ALLOCATION (PPA)

Base Scenario | ₹ Crore | Intangible Step-Ups, DTL, Goodwill & Amortisation Schedule

I. PURCHASE PRICE ALLOCATION WATERFALL

PPA Component	Amount (₹ Cr)	Note
Target Equity Purchase Price (₹ Cr)	145,142	Base offer price x Dabur diluted shares
(-) Book Equity of Target (₹ Cr)	10,930	Dabur FY24 consolidated shareholders equity
Brand Value Step-Up (₹ Cr)	8,000	Dabur, Vatika, Hajmola, Meswak, Odomos
Customer Relationships Step-Up (₹ Cr)	3,500	Trade distributor network; 6.5L outlets
Technology / IP Step-Up (₹ Cr)	1,500	Ayurvedic formulations and R&D pipeline
Total Intangible Step-Ups (₹ Cr)	13,000	Sum of above three intangibles
(-) Deferred Tax Liability on Step-Ups	3,250	Total Step-Ups x 25% DTL rate
Net Intangibles after DTL (₹ Cr)	9,750	Total Step-Ups minus DTL
Goodwill (₹ Cr)	124,462	Eq Price minus Book Equity minus Net Intangibles

II. PPA AMORTISATION SCHEDULE (Y1-Y3)

Intangible	Total Value	Useful Life	Y1	Y2	Y3
Brand Value	8,000	15	533	533	533
Customer Relationships	3,500	10	350	350	350
Technology / IP	1,500	5	300	300	300
Total PPA Amortisation (₹ Cr)	1,183		1,183	1,183	1,183
Goodwill Impairment (Bear only, ₹ Cr/yr)	2,489		2,489	2,489	2,489

COLOR CODING LEGEND

Blue text	Hardcoded input — Assumptions only
Black text	Formula on same sheet
Green text	Cross-sheet formula link
Yellow bg	Key assumption / output
Green cell	Accretive EPS outcome
Red cell	Dilutive EPS outcome
Yellow cell	Breakeven / neutral

